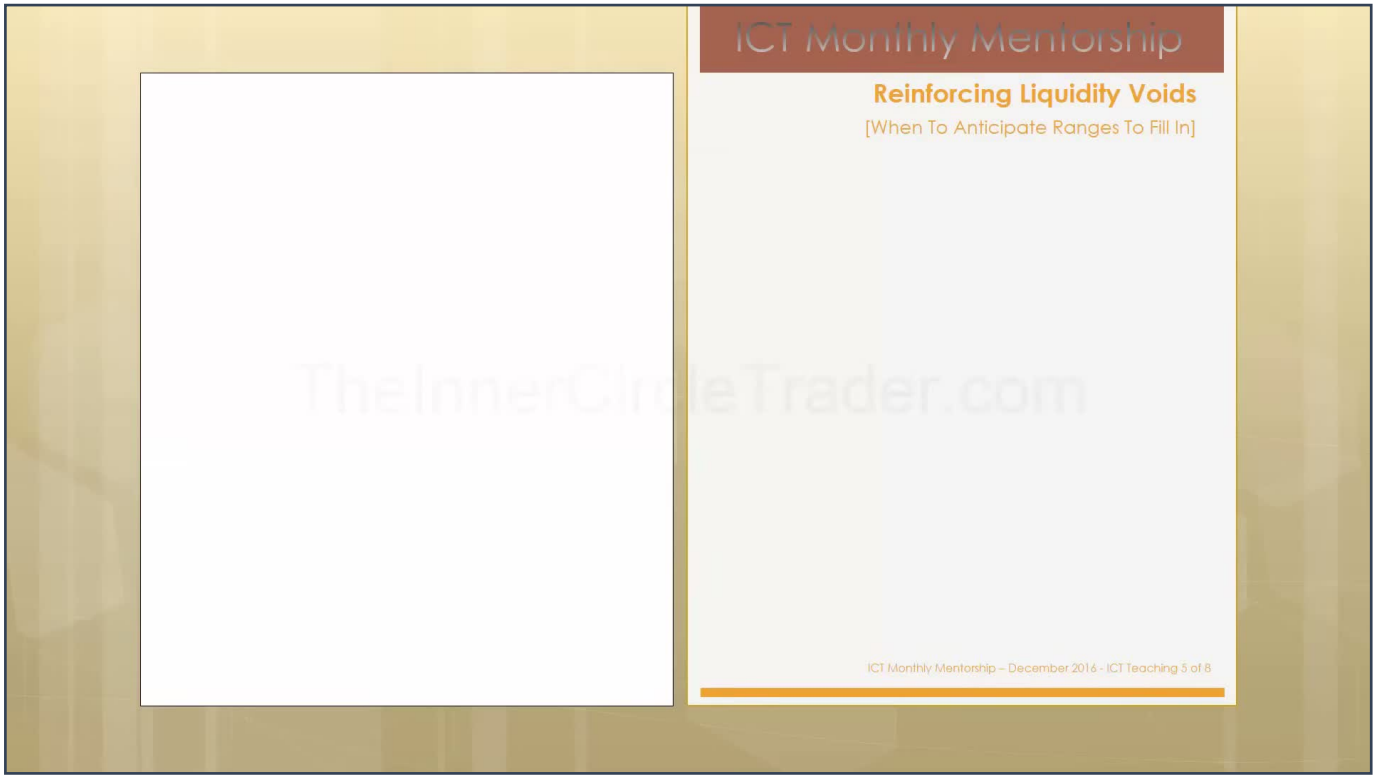
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - LIQUIDITY VOIDS

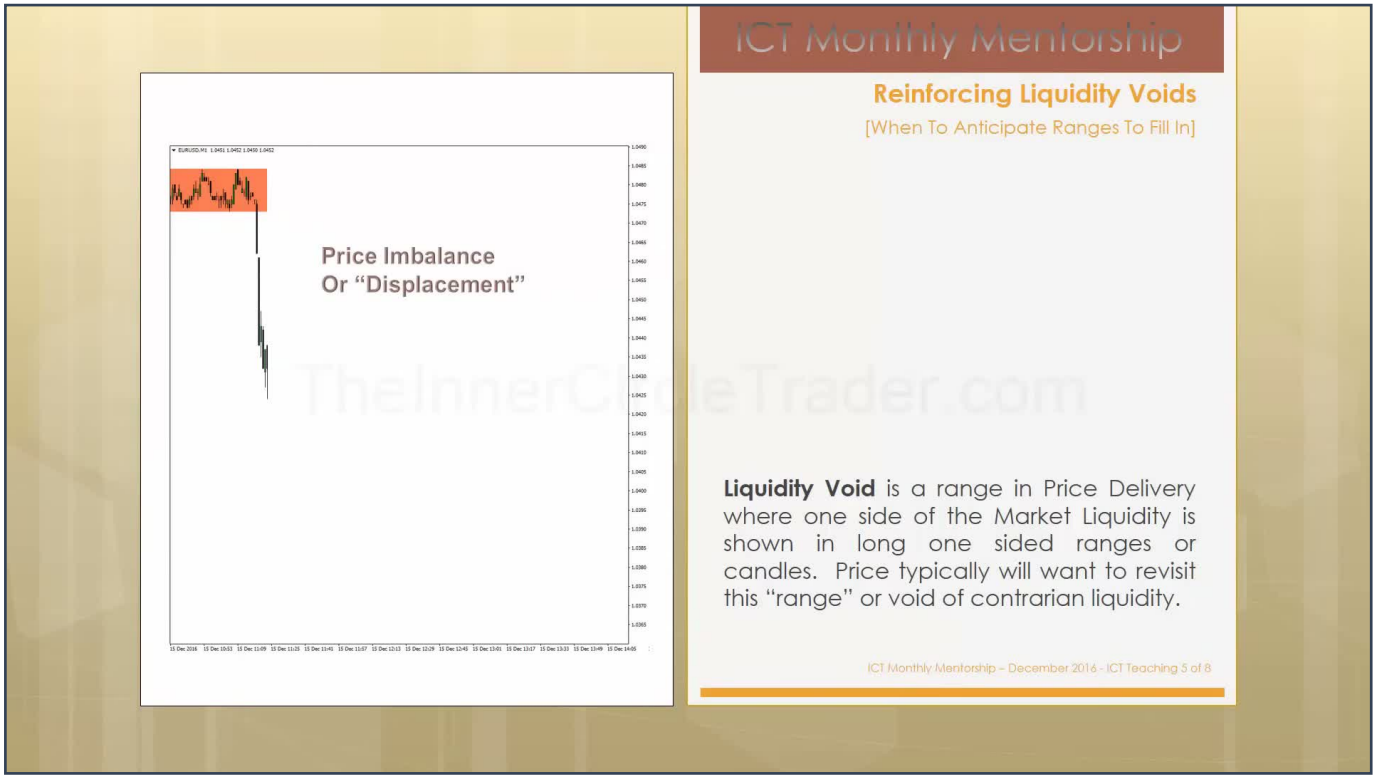


Welcome to teaching number five of eight for the ICT Mentorship core content. This session focuses on reinforcing the concept of liquidity voids and understanding when to anticipate ranges to fill in.

A liquidity void is identified as a range in price delivery where one side of the market's liquidity is exclusively shown. This appears as wide or long one-sided ranges or candles. Price typically demonstrates a strong tendency to revisit this porous range or 'void' of contrarian liquidity.

When price is in a small consolidation or trading range, it is referred to as price in balance, signifying a point of equilibrium.

Eventually, price will move out of this consolidation. This movement indicates participation by smart money, which possesses the deep enough pockets to cause significant price displacement or imbalance away from consolidations.



Price can aggressively drop from a consolidation, forming a range with only two or three candles. This range, representing a liquidity void, can remain open for an unspecified duration. There is no specific time limit for these voids to close in.

The time it takes for a void to fill is entirely relative to the market context at the time the void is observed. Voids can stay open for months, or they can close within a brief intraday session. Their closure is dependent on the price action around the void itself.

When we refer to a 'void,' we are specifically looking at a small area of price action where delivery was predominantly one-sided, for example, only on the downside. This manifests as long-bodied candles where price has only been delivered lower, often with a small gap between the two biggest down candles.

This configuration is what we frame as a liquidity void. Using a one-minute chart allows us to observe these pockets within larger price runs. While not necessarily a 'big run' in terms of many pips, it represents a significant move away from consolidation in relative terms. The shaded consolidation area, when price moves aggressively away from it, indicates smart money participation, suggesting an expectation for lower prices.

Smart money, due to their large order sizes, must scale in their positions gradually. They cannot facilitate their entire net short position at a single price. This might involve taking slightly lower entries, or even pushing price higher to run above the consolidation, selling into buy stops. However, this teaching focuses solely on the liquidity void.

When a liquidity void breaks down as described, it signifies a void of buy side liquidity. The market has aggressively moved away from the shaded consolidation area, repricing lower almost entirely on sell side liquidity. Very little buying occurs during such a rundown.

The nature of a liquidity void strongly suggests that price will, with a great deal of probability, move back up into that range. For example, a move back up to the 104.76 level would cap or fill in the entire liquidity void, formed by the two big candles that dropped away from the consolidation.

It is important to remember that it is a void of buy side liquidity that causes these downward ranges, forming what we call a liquidity void. We expect price to return and trade right back over those same price levels, such as between 104.76 and 104.50.

LIQUIDITY VOID ON A 5-MINUTE CHART AND SELL STOPS

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Observing a 5-minute chart, a liquidity void may appear as a single large 5-minute candle aggressively dropping from consolidation. This again denotes a liquidity void, representing the absence of buyers or buy side liquidity, causing aggressive repricing downwards, often into a range like 104.40 to 104.30 before buyers reappear.

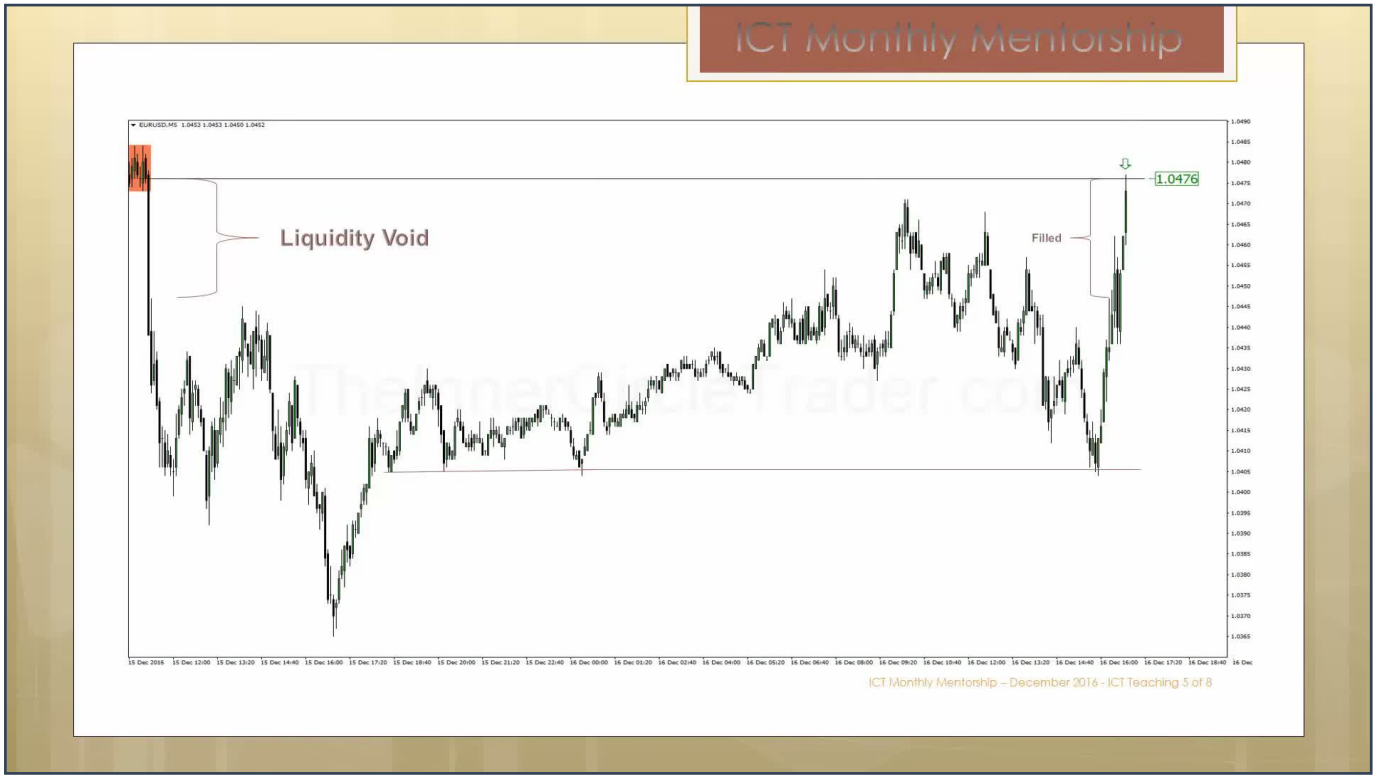
Pay attention to short-term support lows. Below these lows, sell stops accumulate. If we anticipate price moving up to close the identified liquidity void (represented by a big single 5-minute bearish candle), these sell stops become crucial.

At some future time, we expect the entire range of that large, thin down candle, identified as a liquidity void, to be covered. This means that range will be filled with bullish price action, typically a bullish candle or price swing that covers the entire voided area. When this occurs, price action has been balanced out.

This balancing signifies a complete and uniform delivery of price action, having been offered on both the down move and the buy move up. The sell stops below those initial lows are often triggered, leading price to run up and potentially close the liquidity void.

As sell stops below lows are run, price subsequently moves up. At this point, you would reasonably expect the liquidity void to be completely closed in. Sometimes it does, sometimes it may come back down to run another area of liquidity (like equal lows) before finally running up and hitting the target.

The last portion of the price action shown typically fills in the liquidity void, closing right up to the 104.76 level. This sequence of price action offers several potential trades, but the ultimate draw on price was to reach 104.76, closing the liquidity void.



Observe the stops that were run below the low right before the void was closed. That low typically presents a buying opportunity. Additionally, right before that low, there might have been a short-term low that price dropped below to hit a level such as 104.10 to 104.05.

The initial short-term low, positioned above the bold arrow, had sell stops below 104.10. The run on these sell stops was necessary for smart money to facilitate new long positions. By picking up buy orders around 104.05 or the 104 big figure (depending on the data feed), they make it worthwhile to target 104.76. Price then makes a significant run, approximately 75 pips, up to 104.76, closing the liquidity void.

15-MINUTE LIQUIDITY VOID AND MULTIPLE PRICE REJECTIONS

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On a 15-minute timeframe, a liquidity void is again denoted by a single large 15-minute candle aggressively dropping lower from consolidation. On this timeframe, the runs on sell stops around 104.10 and 104.08 appear clearer, occurring around the 15th and 16th of December.

An interesting observation is that price trades up into the 104.76 level twice. The second time, it pokes slightly higher than the first. The first hit was around 1500 on December 16th, and the second was on December 19th.

After the second run into 104.76, observe the two candles immediately following. There are two down candles; one has a slightly longer wick, and the next candle gaps down at its opening, forming a bearish candle. Look specifically at the small space where the bodies do not close in—this is a price gap.

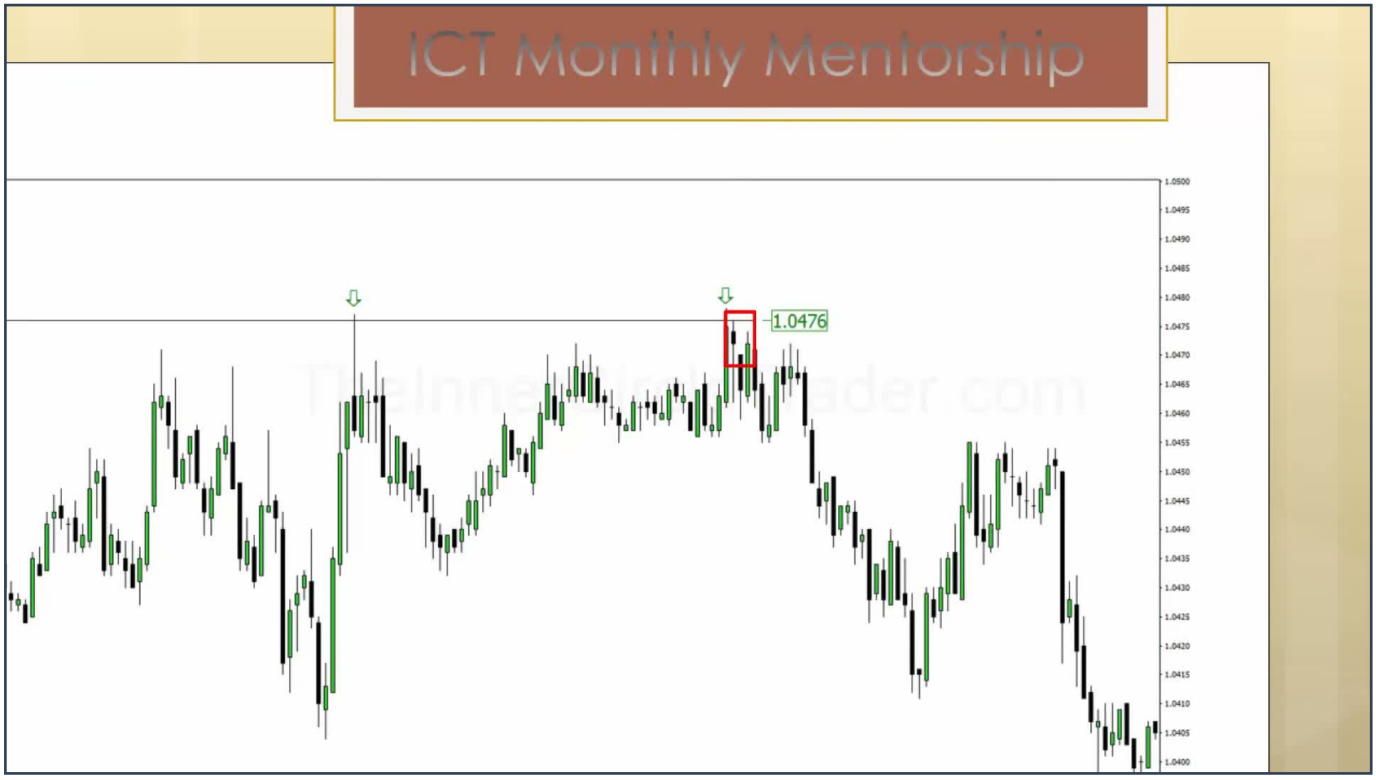
With the liquidity void closed and price having run to 104.76 multiple times, if we also see price gap down, it provides crucial information. The initial aggressive move away from the 104.80 institutional level, and the subsequent attempts to revisit 104.75 two times, suggest a higher probability of price moving lower.

Pricing at an institutional level occurs in graduated terms; it is not typically completed on the first pass. Price may run away from a level, in this case, moving lower from 104.80, and then gradually work its way back up to 104.75, once, then selling off.

This initial sell-off on December 16th indicates smart money pricing in more selling to build a natural short position. Price then trades up one more time to the 104.75/104.76 level on December 19th. Immediately after, we see two bearish candles, with one gapping down. This aggressive gap down signals a strong intent for price to go lower, offering a golden opportunity.

Liquidity voids are often gaps during price trading that extend across a distinct range. When we observe a gap where price has closed from one candle and then gaps to the opening of another, creating a separation where price doesn't have a full closure, it forms a common gap.

Given the inclination for price to move lower, this common gap can be utilized as a selling opportunity. A limit order can be placed to sell at a specific price level within that gap, for example, at 104.70. The reaction upon closing this gap is often characterized by minimal drawdown, with only the body of the up candle necessary to close the gap, before price immediately trades lower and reprices.



After the gap is closed at an entry of 104.70, utilizing the common gap effectively, price immediately makes a run for the 104.04 sell stops. These sell stops serve as points where short positions can be covered, as sell stops are used to pair up with short-covering buys.

Price then makes another leg lower, running down to 103.65, again pairing up sell stop orders with buys to cover shorts. All principles discussed here are reversible for bullish market conditions. Supplementary PDF files will provide additional examples on gaps, liquidity voids, and order blocks, with more information coming in daily teachings during the last week of December.